

2	Model Builders, Inc. v. Pham 2024-01382108 Demurrer to Amended Complaint	Defendant Tony Dang’s Demurrer to Plaintiffs Model Builders, Inc. and Nghia Dao’s Third Amended Complaint is SUSTAINED with 20 days leave to amend. Dang’s procedural defects Dang has not submitted proofs of service showing the demurrer, request for judicial notice, or reply were served on Plaintiffs. (See Code Civ. Proc., § 1005, subd. (b); Cal. Rules of Court, Rule 3.1300, subd. (c).) The Court considers the demurrer and request for judicial notice as Plaintiffs have filed a timely opposition to the demurrer, including an objection to the request for judicial notice. The Court declines to consider the reply. Dang’s request for judicial notice Dang’s Request for Judicial Notice is GRANTED as to Exhibits 1, 2, 3, 4, 6, 7, 9, and 10 and DENIED as to Exhibits 5 and 8. Plaintiffs’ objections to Dang’s request for judicial notice as to Exhibits 1, 2, and 9 are DENIED as MOOT as the Court is limited to taking judicial notice of only the existence of those documents. Sixth cause of action for fraud A cause of action for fraud contains “the following elements: (1) a knowingly false representation by the defendant; (2) an intent to deceive or induce reliance; (3) justifiable reliance by the plaintiff; and (4) resulting damages.” (<i>Hasso v. Hapke</i> (2014) 227 Cal.App.4th 107, 127.) Plaintiffs allege Dang was an employee of Model Builders, Inc. (Model Builders) on or about 8/16/17. (TAC ¶ 5.) Plaintiffs allege Dang, who was not a licensed contractor, misrepresented his authority within Model Builders to enter into an agreement with Phung Van Tong for remodeling work at Tong’s home. (TAC ¶ 5.) Plaintiffs further allege Dang did not obtain consent or authorization from Nghia Dao (Dao) or Model Builders to use Model Builders’ name when he signed the agreement with Tong. (TAC ¶ 6.) Disputes between Tong and Dang led to a lawsuit brought by Tong, Phung Van Tong v. Model Builders, Inc., et al., case number 30-2018-01036570-CU-BC-CJC. (TAC ¶ 6.) Plaintiffs (defendants in that action) retained Loc Pham as counsel, who did not disclose he was related to Dang. (TAC ¶¶ 23, 24.) Judgement was ultimately entered against Model Builders and Dao in the Tong action. (TAC ¶ 131.)
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	Dang contends the fraud claim fails because the court found in the Tong action that Dao dba Model Builders was the actual party to the agreement with Tong, and not Dang. (RJN, Ex. 6, at p. 12.) In the TAC, Plaintiffs now allege Dang made false representations to Dao knowing that Dao would reasonably rely on those representations to enter into an agreement with Tong, including that Dang was properly licensed to perform the work in the contract. (TAC ¶ 10.) Plaintiffs allege “[a]s a direct and proximate result of unknowing Dang unlawful business practices and misrepresentations by Dang, Plaintiffs changed position and signed the agreement with Tong.” (TAC ¶ 118.) Plaintiff alleges numerous times throughout the TAC, however, that neither Dao nor Model Builders were even aware of the transaction between Dang and Tong. Plaintiff alleges, for example: - Tony Dang unlawfully used the name and license of Model Builders, Inc., to transact with Mr. Tong. Defendant Tony Dang did not obtain the consent and authorization from either Nghia Dao or Model Builders, Inc., to use the name and license of Model Builders, Inc., when he signed the agreement with Mr. Tong. (TAC ¶ 6.) - Defendant Loc Pham failed to professionally defend Plaintiffs at trial . . . by failing to present to the Court the unlawful and unfair business practices of Tony Dang when he used the license of Model Builders, Inc., to transact with Mr. Tong. (TAC ¶ 44.) - Dang was an unlicensed contractor when he originally entered into an agreement with Mr. Tong . . . (TAC ¶ 45 [emphasis in original].) - This agreement between Dang and Tong, was never disclosed nor was it approved by Plaintiffs. The private agreement between Dang and Tong was concealed, and never disclosed to Plaintiffs. (TAC ¶ 119.) “While inconsistent theories of recovery are permitted . . . a pleader cannot blow hot and cold as to the facts positively stated.” (<i>Manti v. Gunari</i> (1970) 5 Cal.App.3d 442, 449 [citations omitted, emphasis in original].) As such, Plaintiffs cannot allege both that Dang entered into the contract with Tong without their knowledge and that they relied on Dang’s representations to enter into the agreement with Tong. Finally, Dang contends the fraud claim is barred by the three-year statute of limitations. (Code Civ. Proc. § 338, subd. (d).)
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	Plaintiffs allege Dang fraud was discovered on 3/1/24, when a legal malpractice again was filed against Pham. (TAC ¶ 128.) In the Tong action, Tong filed a first amended complaint on 4/3/19 attaching the purported agreement between Dang and Tong dated 8/16/17. (RJN, Ex. 1.) Dao dba Model Builders filed an answer on 7/29/19. (RJN, Ex. 2.) This action was filed on 2/26/24, which is more than three years after Dao should have discovered the alleged fraud committed by Dang in 2019. The Court sustains the demurrer to the sixth cause of action. Seventh cause of action for indemnification Plaintiffs allege "Tony Dang, committ[ed] fraud by taking advantage of the name of Model Builders, Inc., and used those information to his benefits." (TAC ¶ 142.) Plaintiffs further allege "Plaintiffs without knowing the fraudulent intent of Tony Dang, and the illegal actions by Pham, received a judgment." (TAC ¶ 143.) As such, the seventh cause of action for indemnification against Dang is based on the cause of action for fraud. As the fraud cause of action is barred by the statute of limitations, the claim for indemnification also fails. The Court sustains the demurrer to the seventh cause of action. Eighth cause of action for unfair business competition The Unfair Competition Law (UCL), Business and Professions Code section 17200 et seq., prohibits unfair competition, including unlawful, unfair or fraudulent business acts. (Cel-Tech Comm., Inc. v. Los Angeles Cellular Tel. Co. (1999) 20 Cal.4th 163, 180.) Plaintiffs allege Dang violated section 17200 when he misrepresented his capacity as a licensed general contractor and entered into an agreement to perform acts requiring a license. (TAC ¶ 155.) As discussed above, however, the court in the Tong action found the agreement was entered into between Dao dba Model Builders and Tong, not Dang and Tong. Moreover, the statute of limitations for violation of section 17200 is four years. (Bus. & Prof. Code § 17208.) This action was filed on 2/26/24 more than four years after Plaintiffs should have been aware of the alleged fraud in 2019.
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		The Court sustains the demurrer to the eighth cause of action. Ninth cause of action for declaratory relief To qualify for declaratory relief, an action must present two essential elements: 1) a proper subject of declaratory relief, and 2) an actual controversy involving justiciable questions relating to the rights of obligations of a party. (<i>Lee v. Silveira</i> (2016) 6 Cal.App.5th 527, 546; Code Civ. Proc. § 1060.) The “proper subjects” of declaratory relief are set forth in Code of Civil Procedure section 1060 and other statutes, and include contracts and written instruments and statutory interpretation. (See <i>Brownfield v. Daniel Freeman Marina Hospital</i> (1989) 208 Cal.App.3d 405, 410; <i>Doan v. State Farm General Ins. Co.</i> (2011) 195 Cal.App.4th 1082, 1095.) Plaintiffs “request that the Court declare the rights of the parties in this matter.” (TAC ¶ 150.) Plaintiffs contend “Dang[’s] acts and conduct are proper subject for declaratory relief because he entered into an agreement with Tong without Model Builders, Inc. authority.” (Opp. at 12:9-11.) As discussed above, the court did not find Dang to be a party to the agreement at issue, and Plaintiffs have not identified any other contract or written instrument under which they seek a declaration of their rights with respect to Dang. Moreover, Plaintiffs have not stated a claim against Dang for the reasons discussed above. The Court sustains the demurrer to the ninth cause of action.
3	Farmanfarmian v. Ardaian 2025-01487796 Demurrer to Amended Complaint CMC	The Demurrer of Defendants Cyrus Ardalan and Juni Farmanfarmaian to the First Amended Complaint (FAC) of Plaintiff Nezam Farmanfarmaian is OVERRULED as moot. Defendants demur on the grounds that another action is pending in which Plaintiff has asserted substantially identical claims in a cross-complaint. (Case No. 2023-01338835.) Code of Civil Procedure section 430.10(c) state a demurrer may be brought on the grounds that, “There is another action pending between the same parties on the same cause of action.” Plaintiff concedes the FAC is identical as to Defendant Cyrus Ardalan, but contends that in the 2023 action,